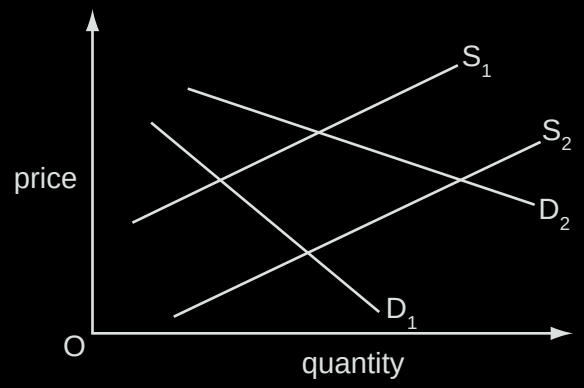


According to the diagram, what would be the result of these changes?

	price	quantity
A	increase	increase
B	increase	unchanged
C	unchanged	increase
D	unchanged	decrease

11 The major oil producers sometimes try to raise the price of oil.

How would this be shown on a demand and supply diagram?

A a movement along the demand curve to the right

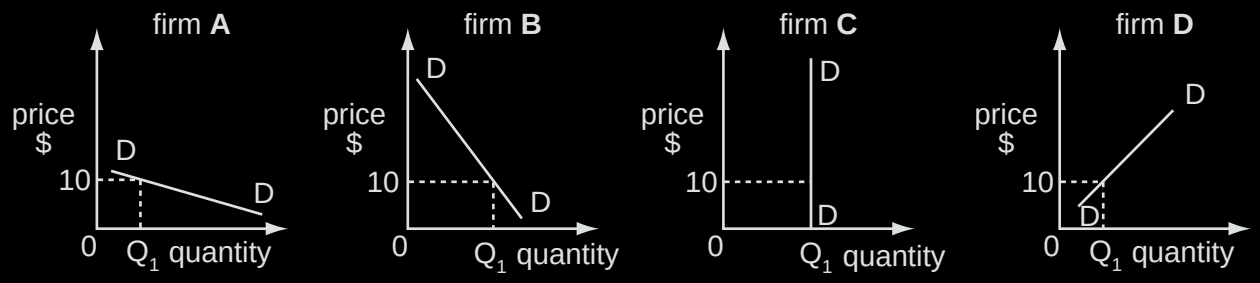
B a shift in the supply curve to the right

C a shift in the demand curve to the left

D a shift in the supply curve to the left

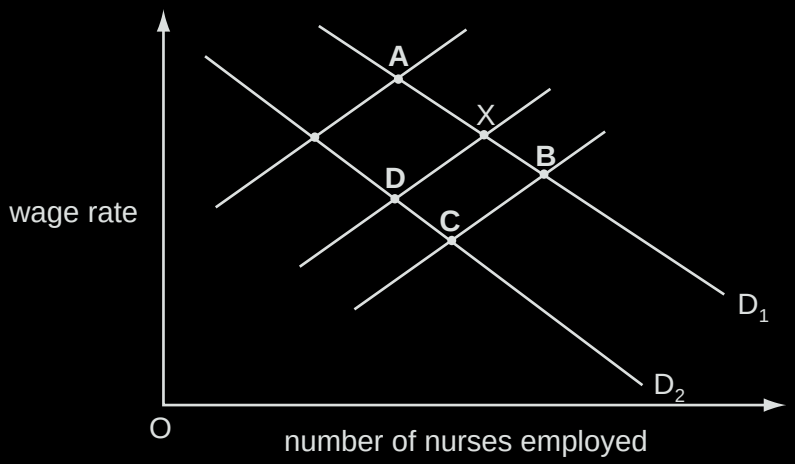
12 If 'Sunshine Oranges' were successfully advertised with the statement 'They help you live longer', which would be likely to occur?

	price elasticity of demand	total revenue
A	fall	fall
B	fall	rise
C	rise	fall
D	rise	rise



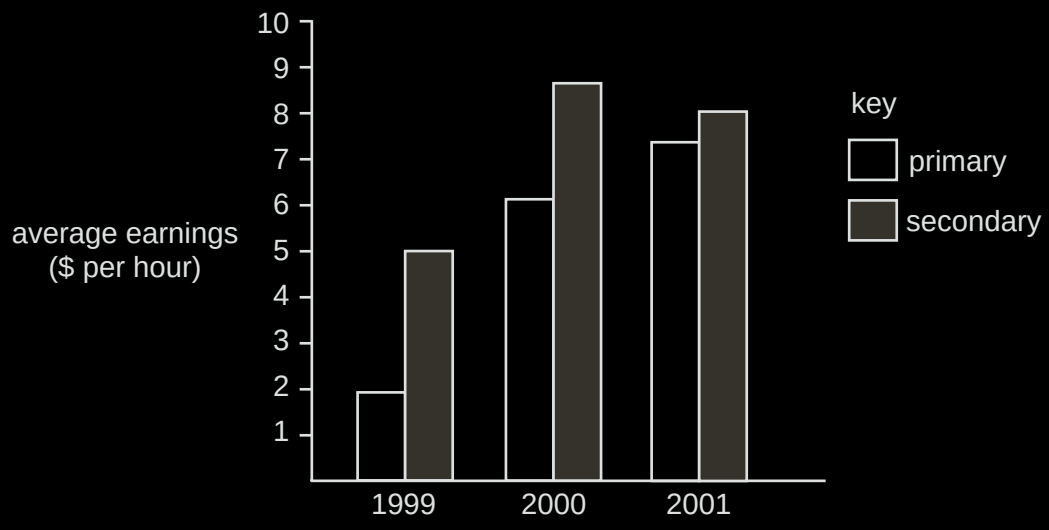
16 Which combination is most likely to result in lower rates of pay?

	supply of workers	productivity of workers
A	falls	falls
B	falls	rises
C	rises	falls
D	rises	rises



18 What is likely to be the effect of a fall in interest rates on a consumer's borrowing and saving?

	borrowing	saving
A	falls	falls
B	falls	rises
C	rises	falls
D	rises	rises



What happened in this period?

A Average earnings in the primary sector grew faster than those in the secondary sector.

B Earnings in the secondary sector were a larger proportion of total cost than those in the primary sector.

C Total earnings in the secondary sector were higher than those in the primary sector.

D Workers in both sectors benefited from a continuous rise in average earnings.

20 A large clothing manufacturer expanded by acquiring retail clothing outlets.

Of what is this an example?

A diversification

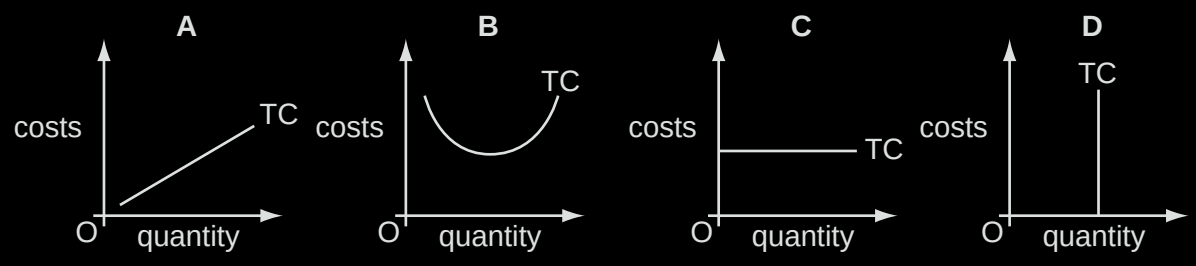
B external economies of scale

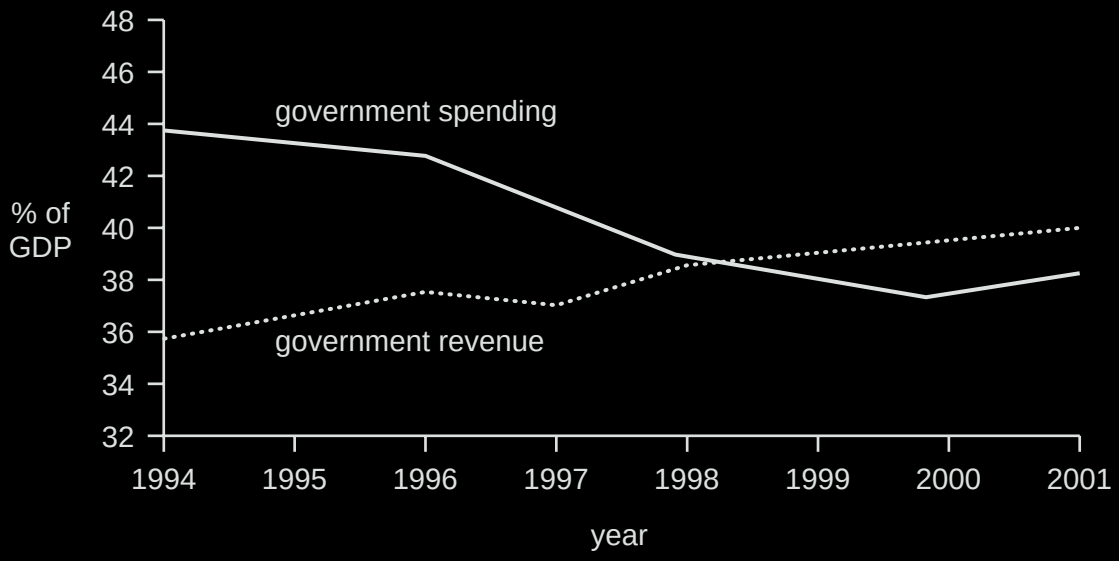
C horizontal integration

D vertical integration

21 The diagrams represent total cost curves (tc) of four firms in the short run.

Which firm has only fixed costs?





What can be concluded from the graph?

A The balance of payments position improved.

B The borrowing of the government increased.

C The economy went into recession.

D The government budget moved from deficit to surplus.

31 A survey of employment in a particular economy shows that the primary sector was diminishing in importance and more people were being employed in the tertiary sector.

What does this mean?

A Fewer people were employed by central government.

B Fewer people were employed in manufacturing industries.

C More people were employed in the service industries.

D More people were employed in agriculture.

32 A newspaper reports that there has been economic growth in an economy.

What does this mean to an economist?

A Population has increased.

B Production has increased.

C Saving has increased.

D Taxation has increased.